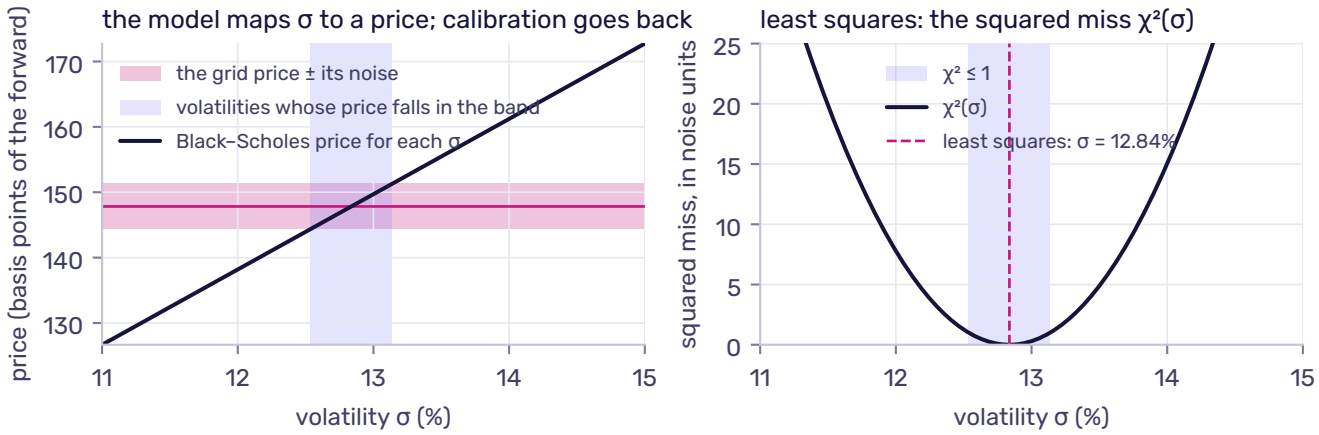
the model maps σ to a price; calibration goes back
the grid price ± its noise
volatilities whose price falls in the band
Black–Scholes price for each σ
price (basis points of the forward)
170
160
150
140
130
11
12
13
14
15
volatility σ (%)
least squares: the squared miss χ²(σ)
χ² ≤ 1
χ²(σ)
least squares: σ = 12.84%
squared miss, in noise units
25
20
15
10
5
0
11
12
13
14
15
volatility σ (%)